

Energex Network Tariff Guide

1 July 2022 to 30 June 2023



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1. Introduction

1.1 Purpose

This document is Energex's Network Tariff Guide (Guide). It supports Energex's 2022-23 Pricing Proposal and has been prepared to assist in the interpretation of our network tariffs and tariff assignment processes for the period from 1 July 2022 to 30 June 2023.

Each year we are required to submit a pricing proposal to the the Australian Energy Regulator (AER) for approval. The pricing proposal sets out Energex's proposed tariffs and demonstrates compliance with Chapter 6 of the National Electricity Rules (NER). Our 2022-23 Pricing Proposal was developed in accordance with the requirements set out in our 2020-25 Tariff Structure Statement (TSS).

This Guide aligns with our AER approved 2020-25 TSS and 2022-23 Pricing Proposal. These documents, in conjunction with Energex's 2022-23 Network Price List, are available on our website <https://www.energex.com.au/home/our-services/pricing-And-tariffs>.

1.2 Supporting network pricing documentation

In addition to this Guide, we have published a number of related network pricing documents to assist network users, retailers and interested parties understand the development and application of tariffs and connection charges.¹ These documents are outlined in Table 1 below.

Table 1: Supporting network pricing documentation

Document	Overview
Tariff Structure Statement	• Sets out the proposed tariff classes, tariffs and tariff structures for the 2020-25 period • Details how the proposed tariff classes, tariffs and tariff structures comply with the pricing principles • Provides details on Energex's tariff assignment policy • Provides indicative prices for the 2020-25 regulatory control period • Approved by the AER as part of the 2020-25 Distribution Determination
Pricing Proposal	• Explains Energex's tariff classes, tariffs and tariff structures for Standard Control Services and Alternative Control Services in compliance with the requirements set out in Chapter 6 of the NER, the AER's Distribution Determination and our TSS • Submitted to the AER annually for approval
Network Price List	• Provides Energex's prices for our Standard Control Services and Alternative Control Services developed in accordance with the requirements set out in the NER, the AER's Distribution Determination and our TSS • Submitted to the AER annually as part of the Pricing Proposal
Network Tariff Guide	• An operational document for customers, retailers, and consultants, setting out the tariff assignment and reassignment procedures • Provides a description of the network tariffs • Provides an explanation of the application of network tariff charging components • Published annually and updated as required
Connection Policy	• Sets out when a connection charge may be payable by retail customers or real estate developers and the aspects of the connection service for which a charge may be applied • Details how Energex calculates the capital contributions to be paid • Approved by the AER in 2020 as part of the 2020-25 Distribution Determination

¹ Link to the pricing page on the Energex website: <https://www.energex.com.au/home/our-services/pricing-And-tariffs>.

1.3 Background

1.3.1 Network tariff charging components

The total network charges customers are charged for their use of the distribution network (i.e., for Standard Control Services) are known as Network Use of System (NUOS) charges.

NUOS charges are comprised of the following three components:

- Distribution Use of System (DUOS) charge – this charge refers to the network charge attributable to the use of Energex's distribution network.
- Designated Pricing Proposal Charge (DPPC) – this charge refers to the charges incurred for the use of Powerlink's transmission network. It was previously referred to as Transmission Use of System (TUOS) charge.
- Jurisdictional scheme charges – this charge refers to the amounts imposed on Energex through legislative obligations by the Queensland Government.

2. Assigning and reassigning customers to network tariff classes and tariffs

This chapter sets out Energex's procedures for assigning new customers² to a default network tariff and for reassigning existing customers to an alternative network tariff. This chapter should be read in conjunction with our approved 2020-25 TSS and the AER's 2020-25 TSS Decision.

New customer assignment and existing customer reassignment to Energex's default network tariff involves two steps:

- 1) assigning new customers or reassigning existing customers to the applicable tariff class based on their connection characteristics, and
- 2) assigning new customers or reassigning existing customers to the applicable network tariff within their correct tariff class.

2.1 Assigning new customers

2.1.1 Assignment to tariff class

Consistent with our TSS, Energex will assign customers into one of three tariff classes, mainly based on the voltage level at which customers are connected to the network. Energex's tariff classes and eligibility criteria are explained in Table 2: Tariff classes.

Table 2: Tariff classes

Tariff class	Eligibility criteria
Standard Asset Customers (SAC)	All customers connected at LV with installed capacity up to 1,000kVA are assigned to the SAC tariff class. SAC customers are further classified as Small or Large customers, depending on their energy consumption: • SAC Small – A small customer is defined as an LV customer with annual energy consumption up to 100 MWh. • SAC Large – A large customer is defined as an LV customer with annual energy consumption greater than that of a small customer as determined in Section 7 of the <i>National Energy Retail Regulations</i>, that is customers with annual energy consumption of 100 MWh or more.
Connection Asset Customers (CAC) ^a	Customers with a network coupling point at 66 kV, 33 kV, 22 kV, 11 kV and installed capacity above 1,000 kVA who are not assigned to the ICC tariff class are allocated to the CAC tariff class.
Individually Calculated Customers (ICC)	Customers are assigned to the ICC tariff class if they are coupled to the network at 132 kV, 110 kV, 66 kV or 33 kV, and with installed capacity above 10 MVA. Customers may also be assigned to the ICC tariff class if they are coupled to the network at 132 kV, 110 kV, 66 kV or 33 kV, and with installed capacity below 10 MVA where: • A customer has a dedicated distribution system which is quite different and separate from the remainder of our distribution system • At the determination of the DNSP, the nature of the customer's connection to the network, and/or usage of the network, make average prices inappropriate • A customer is connected at or close to a Transmission Connection Point.

² In this Guide, a new customer means as a new connection to the distribution network.

Tariff class	Eligibility criteria
Note: Some existing customers coupled to the HV network at lower voltage levels will remain allocated to the ICC tariff class for legacy reasons.	

No reference is made to customer's export load in assigning customers to Energex's tariff classes (or network tariffs).

2.1.2 Assignment to default primary tariff

If a retailer does not specify its preferred network tariff for a new customer, Energex will assign the customer to the relevant default network tariff in accordance with the table below. It should be noted that all new customers are assumed to have smart meters.

Table 3: Default tariff assignment for new customers

Tariff class	Customer type	Energy consumption	Default network tariff	Tariff code
SAC	Residential	Below 100 MWh per annum	Residential Transitional Demand	3900
	Small Business	Below 100 MWh per annum	Small Business Transitional Demand	3800
	Business	100 MWh or more	LV Demand Time-of-Use	7200
	Unmetered supply	All	Unmetered supply	9600
CAC	Network coupling point at 11kV feeder shared with other customers		Demand Time-of-Use 11kV	7400
	Network coupling point at an 11kV zone substation bus via a dedicated 11kV feeder		11kV Bus	4000
ICC	All ICC customers		ICC tariff	1000

Energex's network tariffs do not support a mixed tariff situation (for example, where one NMI has both residential and business retail tariffs). The determination of the appropriate SAC network tariff will be based on the retailer's classification of the NMI as either business or residential in accordance with the National Energy Retail Rules.³

If a customer classification is not received from the retailer for move-in SAC small customers, the retail customer moving-in to the existing premises will inherit the existing customer classification and existing network tariff. Move-in customers are not considered as a new customer to Energex, as these customers are not a new connection to the distribution network.

³ Energex's investigation of customers classified as residential with annual consumption greater than 100MWh shows that these customers are likely to be businesses or organisations such as hospitals, schools or city councils. Energex intends to work with all retailers to address this issue to ensure customers are correctly classified as residential or business customers.

2.2 Reassigning existing customers

In accordance with our TSS, Energex will initiate network tariff reassignment of customers in the following instances:

- when a SAC customer changes from a basic accumulation meter to a smart (Type 4) meter,
- when a SAC customer reaches the end of any applicable grace provision with the TSS,
- to transition SAC customers that already have a smart meter from a flat tariff to a demand or time-of-use based tariff, and
- as a result of our review and assessment of customer assignment to ensure customers are assigned to the correct tariff class and tariff.

Energex initiated tariff re-assignments procedure for existing customers is further explained in the sections below.

2.2.1 Tariff reassignment for SAC customers

SAC customers with consumption below 100 MWh changing to a smart meter

End-of-life meter replacement for customers with a basic meter

SAC Small residential and small business customers that have their basic accumulation meter replaced due to end of life reasons after 30 June 2020 may remain on the legacy flat tariffs for a period of 12 months from the date of the replacement.

At the end of this 12-month grace period, these customers will be reassigned to the applicable Residential or Small Business Transitional Demand tariff (3900 or 3800), unless their retailers have already voluntarily requested reassignment to a demand or time-of use network tariff prior to the end of the grace period.

Customer initiated meter upgrade from basic meter to smart meter

SAC Small residential and small business customers that upgrade from a basic accumulation meter to a smart meter will be immediately assigned to the applicable Residential or Business Transitional Demand tariff (3900 or 3800).

Customers with Type 4A meters

As per the advice received from the AER, existing customers with communication-disabled smart meters (also known as Type 4A meters) will be automatically reassigned to the Residential or Small Business Transitional Demand tariff (3900 or 3800) at the end of the 12-month grace period for end-of-life scenarios. The rationale for this approach is as follows:

- Type 4A meters are smart meters recording interval data which can be billed on a kW basis; and
- The benefits associated with peak demand reduction will be available to customers with this type of metering.

Considering that Residential and Business Transitional Demand tariffs are charged on a monthly cycle, customers who have their meter read on a quarterly basis will be invoiced estimated monthly bills until the actual meter reading is available. When the actual consumption and demand data is received, the estimated invoices will be cancelled, and new monthly invoices based on the actual readings will be issued.

SAC customers with consumption above 100 MWh with a basic meter

From 1 July 2022, all basic meter customers with annual consumption above 100 MWh will be reassigned to the applicable Large Residential Energy or Large Business Energy tariff. These customers will not be allowed to access any other SAC Large tariffs unless they change from a basic meter to a smart (Type 4) meter.

SAC Large customers with a basic (demand capable) meter will be allowed to access these basic meter tariffs upon a tariff change request from the retailer.

Summary of network initiated tariff reassignments for SAC customers

Table 4 below summarises network initiated tariff reassignment for SAC customers.

Table 4: Reassignment of existing SAC customers

	Customer type	Existing tariff and tariff code	Tariff after reassignment	Reassignment date	Optional tariffs
SAC customers with annual consumption below 100 MWh changing from a basic to smart meter					
End-of-life meter failure	Residential	Residential Flat - 8400	Residential Transitional Demand - 3900	12 months after meter replacement	Residential Demand – 3700 Residential ToU Energy - 6900
	Small Business	Business Flat - 8500 Or WIFT - 6000	Small Business Transitional Demand - 3800	12 months after meter replacement	Small Business Demand – 3600 Small Business ToU Energy - 6800
Customer initiated action	Residential	Residential Flat - 8400	Residential Transitional Demand - 3900	Immediately after meter change	Residential Demand – 3700 Residential ToU Energy - 6900
	Small Business	Business Flat – 8500 or WIFT- 6000	Small Business Transitional Demand - 3800	Immediately after meter change	Small Business Demand – 3600 Small Business ToU Energy - 6800
SAC customers with consumption above 100 MWh and basic meter					
Large customer with basic meter	Residential	Residential Flat - 8400	Large Residential Energy - 6600	From 1 July 2022	None
	Business	Business Flat – 8500 or WIFT - 6000	Large Business Energy – 6700	From 1 July 2022	None

2.2.2 Periodic review and assessment

Energex will review the assignment of customers to tariffs to ensure customers are assigned to the correct tariff class and tariff. There are a number of circumstances where our review may identify that an existing customer is no longer eligible to remain assigned to their existing network tariff, including when:

- CAC or ICC customers change in their voltage level of supply or a material change in connection assets to the extent that they are no longer able to remain on their existing tariff, or
- SAC customers have changed their usage to the extent that they are no longer eligible to remain assigned to their existing customer classification and network tariff.

Electricity consumption levels for all eligible⁴ SAC customers are reviewed every 12 months to assess if their annualised consumption falls below/above the 100 MWh per year threshold. As a safeguard, a 15% tolerance limit is applied on an annualised consumptions basis to mitigate frequent tariff re-assignment.

For SAC Small customers with a smart meter that exceed the 100 MWh per year threshold we will initiate a network tariff change to reassign the customer to the Demand Small tariff (8300)⁵. SAC customers with basic meters and consumption greater than 100 MWh per year will be reassigned to SAC Large Residential or Business Energy tariff.

For SAC Large customers, where our review identifies that their annualised consumption is under the 100 MWh threshold, we will initiate a network tariff change to reassign the customer to the applicable SAC Small Transitional Demand tariff (or back to the Flat tariff in case of basic meter customers).

In accordance with our TSS, Energex will notify the retail customer prior to the proposed network tariff re-assignment occurring.

If a network tariff is discontinued or no longer available to a customer, Energex may initiate a change to the customer's network tariff. This change will also be undertaken in accordance with procedures outlined in our TSS.

2.2.3 Retailer requested reassignment or reclassification

In accordance with our TSS, existing customers requesting a tariff re-assignment are allowed only one tariff change per 12-month period⁶. Such a tariff change is free of charge to customers.

For retailer initiated reclassification and network tariff code change process refer to our TSS, specifically Section 5.7.4.

2.3 Notice of proposed reassignment and objections review process

In accordance with our TSS, Energex will notify the retail customer or their retailer prior to the proposed network tariff re-assignment occurring to inform the about the proposed change, the reason for the change, how the customer can dispute the decision and the date the change will take effect. For further information about Energex's tariff reassignment process, including customer notification process and tariff assignment objection review refer to our TSS, Sections 5.4 and 5.5.

⁴ Typically a NMI must have a minimum of six months of available consumption data in order to be reviewed

⁵ Subject to customer having appropriate metering for kVA based demand charging.

⁶ This condition will not apply to customers who have opted in to the newly introduced Small Business Primary Load Control Tariff, the Large Business Primary Load Control Tariff and the Large Business Secondary Load Control Tariff. Customers on these tariffs will be permitted to opt out of their load control tariffs within the 12-month period.

3. Description of network tariffs and application of charges

This chapter describes Energex's network tariffs to assist retailers, customers, and other stakeholders to understand our Network Price List, particularly the tariff structures and the application of tariff components.

3.1 Different types of network charges

Each network tariff comprises a combination of tariff components (also referred to as charging parameters) that are applied to recover costs⁷. This section explains the different tariff components used by Energex.

3.1.1 Tariff components

Different types of tariff components (or charges) and their application are described below.

Fixed charge

- A fixed \$/day charge applied to each energised connection point where energy or demand is recorded. In the case of the Wide Inclining Fixed tariff (WIFT), the fixed charge increases with each inclining consumption block increment (refer to Section 3.3 and Appendix A for further details).
- In some situations, daily pro-rating will apply in the calculation and billing of fixed charges. The Queensland Market Participant Handbook provides further guidance on network billing arrangements.
- For small customers, fixed charges are designed to reflect the average capacity of the electricity network allocated to a typical customer on that network tariff. For large customers, fixed charges reflect the costs associated from the connection and management of the customer.

Volume charge

A volume charge may be a flat or variable charge for energy consumed at a connection point, calculated in \$/kWh:

- Flat volume charge - A flat or single volume charge, meaning the same price is charged for energy consumed regardless of when the energy is consumed. These charges are designed to recover the costs related to the volume (or amount) of electricity consumed by customers.
- Time of Use (ToU) volume charge - A variable volume charge, meaning the price charged for energy consumed changes at different times of the day. Prices are lower during Day (Off Peak) Hours and higher during Evening (Peak) Hours. Overnight (Shoulder) prices apply in-between the Evening and Day periods. These charges are designed to reduce demand on the network during peak times by encouraging customers to switch non-essential electricity consumption to other periods.

⁷ Network tariffs are applied to the electricity used at the connection point, as measured by the meter (or meters) at that connection point. Customers with multiple network connections will pay network charges for each connection point. This approach is consistent with the National Metering Identifier (NMI) Procedure issued by the Australian Energy Market Operator.

Demand charge

- A monthly demand charge calculated as a \$/kVA/month or \$/kW/month, for demand recorded at a connection point. These charges are applied to the maximum half hourly kW (or kVA for large customers) power reading that occurred at a connection point during either:
 - a single peak recorded anytime in the month, or
 - the maximum demand recorded within a peak demand window (specific timeframe).

In some situations, daily pro-rating will apply in the calculation and billing of demand charges. The Queensland Market Participant Handbook provides further guidance on network billing arrangements.

- These charges are designed to reflect the future augmentation costs associated with providing sufficient network capacity to customers to cater for their maximum network demand. This means that customers who put more pressure on the network are charged more. As a result, these charges encourage customers to reduce their electricity costs by reducing their maximum demand.

Capacity charge (only applicable to ICC customers)

- Capacity charge is a monthly charge calculated as a \$/kVA/month for the network capacity provided for a connection point. These charges are applied to the maximum half hourly kVA power reading that occurred at a connection point in the 12 months prior to the bill being calculated.
- These charges assign an amount of shared network costs associated with providing network capacity that reflects the amount of capacity set aside for a specific customer and that can be used by that specific customer at any time.

3.1.2 Metering service charges

In addition to the tariff components listed in section 3.1.1, LV customers accessing Energex's network tariffs may be charged metering service charges⁸. Metering service charges are applied through a fixed \$/day charge. Metering charges are split into two components:

- a non-capital component that is applied to existing customers with legacy basic (Type 6) meters and continues to apply until a customer's meter is replaced with a smart Type 4 meter. This charge is designed to recover costs incurred in providing meter maintenance, meter reading, and data services for basic meters.
- a capital component that is applied to existing customers connected to Energex's network prior to 1 July 2015, to recover the remaining capital cost related to legacy Type 6 meters. This charge applies regardless of whether customers have upgraded to a smart meter or churned to an alternative meter provider.

The following types of capital and/or non-capital metering charges may be applied, subject to a customer's metering:

- a charge for the primary metering service
- a supplementary charge for each secondary controlled load, and
- a supplementary charge for solar PV.

For further information about the application of metering service charges refer to our TSS Section 5.

⁸ Metering service charges classified as Alternative Control Services (ASC). For ACS, the cost of the service is not recovered through the NUOS charges. ACS are akin to a 'user-pays' system.

3.2 Overview of tariff components by tariff

The tariff charging components that apply to Energex's 2022-23 network tariffs are shown in Table 5.

Table 5: Tariffs and their charging components

Network Tariff	Tariff code	Fixed charge (\$/day)	Volume charge (\$/kWh)		Demand charge (\$/kw/month or S/kVA/month)		Capacity charge (\$/kVA)	Metering services charge** (\$/day)
			Flat	Time-of-Use	Anytime	Peak window only		
Residential Flat	8400	√	√					√
Residential Transitional Demand	3900	√	√			√		√
Residential Demand	3700	√	√			√		√
Residential Time of Use Energy	6900	√		√				√
Residential Time of Use	8900	√		√				√
Small Business Flat	8500	√	√					√
Small Business Wide Inclining Fixed Tariff (WIFT)	6000	√ Inclining	√					√
Small Business Transitional Demand	3800	√	√			√		√
Small Business Demand	3600	√	√			√		√
Small Business Time of Use Energy	6800	√ Inclining		√				√
Business Time of Use	8800	√		√				√
Business Demand	7100	√	√			√		√
Small Business Primary Load Control	5700	√	√					√
Economy	9100		√					√
Super Economy	9000		√					√
Large Residential Energy	6600	√	√					√
Large Business Energy	6700	√	√					√
Small Demand	8300	√	√		√			√
Large Demand	8100	√	√		√			√
LV Demand Time of Use	7200	√	√		√*	√		√

Network Tariff	Tariff code	Fixed charge (\$/day)	Volume charge (\$/kWh)		Demand charge (\$/kw/month or \$/kVA/month)		Capacity charge (\$/kVA)	Metering services charge** (\$/day)
			Flat	Time-of-Use	Anytime	Peak window only		
Large Business Primary Load Control	5800	√	√					√
Large Business Secondary Load Control	5900		√					√
Unmetered Supply	9600		√					
11kV Bus	4000	√		√	√			
11kV Line	4500	√		√	√			
Demand Time of Use 11kV	7400	√	√		√*	√		
Embedded Generator 11kV	3000	√		√	√			
ICC tariff	1000	√	√		√		√	

* Excess demand charges may apply anytime outside the peak period. These charges are additional to the peak demand charges.

** Metering service charges may apply to some customers. Refer to Section 3.1.2 for further information about the application of metering service charge.

Table 6: Tariffs and their charging timeframes

Network Tariffs	Charging timeframes	Weekdays ^a	Weekends
Residential Time-of-Use Energy (6900)	Evening (Peak) volume	4pm – 9pm	4pm – 9pm
	Overnight (Shoulder) volume	9pm – 9am	9pm – 9am
	Day (Off-peak) volume	9am – 4pm	9am – 4pm
Residential Time-of-Use (8900)	Peak volume	4pm - 8pm	No peak charging
	Shoulder volume	7am - 4pm; 8pm - 10pm	7am-10pm
	Off-peak volume	10pm - 7am	10pm - 7am
Small Business Time-of-Use Energy (6800)	Evening (Peak) volume	4pm – 9pm	No peak charging
	Overnight (Shoulder) volume	9pm – 9am	4pm – 9am
	Day (Off-peak) volume	9am – 4pm	9am – 4pm
Business Time-of-Use (8800)	Peak volume	7am – 9pm	No peak charging
	Off-peak volume	9pm – 7am	Anytime
Residential Transitional Demand (3900) Residential Demand (3700)	Peak demand	4pm – 9pm	4pm – 9pm
Small Business Transitional Demand (3800) Small Business Demand (3600)	Peak demand	4pm - 9pm	No peak charging
Business Demand (7100)	Peak demand	9am -9pm Workdays ^b	No peak charging
LV Demand Time-of-Use (7200)	Peak demand	4pm – 9pm	No peak charging
	Off-peak demand	9pm – 4pm	Anytime
Demand Time-of-Use 11kV (3000)	Peak demand	9am - 9pm Workdays ^b	No peak charging
	Off-peak demand	9pm - 9am Workdays ^b	Anytime
11kV Bus (4000), 11kV Line (4500), Embedded Generator 11kV (7400)	Peak volume	7am – 11pm	No peak charging
	Off-peak volume	11pm – 7am	Anytime

Notes:

- a. Weekdays include government gazetted full day public and bank holidays i.e., State, regional and local public holidays.
- b. Workdays exclude government gazetted full day public holidays but include bank, regional and local holidays as well as part day gazetted public holidays (e.g., Christmas Eve).

3.3 Tariff specific information

3.3.1 Default Tariffs

Table 7: Default primary tariffs for SAC Small Residential customers

Tariff class: Standard Asset Customers (SAC)	
Customer Type:	Residential customer consuming up to 100 MWh per year
Tariff:	Residential Flat (Tariff code: 8400)
Tariff description	This tariff has a flat structure, which allows the customer to pay the same price whatever time of the day they use energy. Secondary load control tariffs can be assessed with this primary tariff. This tariff cannot be used in conjunction with any other primary residential tariff.
Opt in / opt out arrangements	This tariff is the default tariff for residential customers with basic (Type 6) meters consuming up to 100 MWh per year. Arrangements for customers with a smart meter during 2021-2024: - default tariff for residential customers who upgraded from basic to smart metering for end of life replacement reasons in the previous 12 months. - not available to any other residential customers with a smart meter.
Tariff components and application	Fixed charge: \$/day applies to each energised connection point for each day in the billing period
	Volume charge: A flat volume charge, \$/kWh, applies based on kWh energy usage in the billing period
Tariff:	Residential Transitional Demand (Tariff code: 3900)
Tariff description	The Transitional Demand tariff for residential customers is intended to be an introductory demand tariff which incorporates a lower demand price compared to the standard Residential Demand tariff. This tariff allows residential customers to adjust to the concept of demand they may not be familiar with. Secondary load control tariffs can be assessed with this primary tariff. This tariff cannot be used in conjunction with Residential Flat.
Opt in / opt out arrangements	This tariff is the default for new residential customers, and for existing residential customers with a smart meter, consuming up to 100 MWh per annum. Customers initiating a change from a basic meter to a smart meter will be immediately reassigned to this tariff. Customers changing from a basic meter to a smart meter due to end-of-life meter failure will be reassigned to this tariff 12 months after the smart meter installation (unless they chose to voluntarily opt-in to a demand or time-of-use volume based tariff during the 12 month grace period).
Tariff components and application	Fixed charge: \$/day applies to each energised connection point for each day in the billing period
	Volume charge: A flat volume charge, \$/kWh, applies based on kWh energy usage in the billing period Demand charge: A monthly charge calculated as \$/kW/month, based on the maximum kW demand measured as a single peak over a 30-minute period during the peak demand charging window/timeframe. Peak demand window: 4pm to 9pm weekdays and weekends

Table 8: Default primary tariffs for SAC Small Business customers

Tariff class: Standard Asset Customers (SAC)	
Customer Type:	Small business customers consuming up to 100 MWh per year
Tariff:	Small Business Flat (Tariff code: 8500)
Tariff description	This tariff has a flat structure, which allows the customer to pay the same price whatever time of the day they use energy. Secondary load control tariffs can be assessed with this primary tariff. This tariff cannot be used in conjunction with any other primary business tariff.
Opt in / opt out arrangements	This tariff is the default tariff for small business customers with a basic (Type 6) meter consuming up to and including 20 MWh per annum. Arrangements for customers with a smart meter during 2021-25: - This tariff remains the default tariff for small business customers who upgrade from a basic to a smart metering for end of life replacement reasons for up to 12 months after the meter replacement date. - This tariff is not available to any other small business customers with a smart meter.
Tariff components and application	Fixed charge: \$/day applies to each energised connection point for each day in the billing period
	Volume charge: A flat volume charge, \$/kWh, applies based on kWh energy usage in the billing period
Tariff:	Small Business Wide Inclining Fixed Tariff (WIFT) (Tariff code: 6000)
Tariff description	This tariff is the default tariff for small business customers with a basic (Type 6) meter consuming more than 20 MWh and up to 100 MWh per annum. Secondary load control tariffs can be assessed with this primary tariff.
Opt in / opt out arrangements	Closed to customers with a smart meter.
Tariff components and application	Fixed charge: \$/day applies to each energised connection point for each day in the billing period. This tariff has five inclining fixed charge blocks. To select the applicable fixed charge, a customer is assigned to one of the five blocks depending on their electricity usage i.e., different prices apply to each 20 MWh/year block. Block 1: Annual consumption up to 20 MWh/year Block 2: Annual consumption 20 MWh/year up to 40 MWh/year Block 3: Annual consumption 40 MWh/year up to 60 MWh/year Block 4: Annual consumption 60 MWh/year up to 80 MWh/year Block 5: Annual consumption equal to or exceeding 80MWh/year The higher the customer's energy consumption, the higher the \$/day fixed charge. Note: Block 1 fixed charge has been set at the same level as the fixed charge for Tariff 8500 Refer to Appendix A for further information.
	Volume charge: A flat volume charge, \$/kWh, applies based on kWh energy usage in the billing period
Tariff:	Small Business Transitional Demand (Tariff code: 3800)
Tariff description	The Transitional Demand tariff for small business customers is intended to be an introductory demand tariff which incorporates a lower demand charge compared to the standard Small Business Demand tariff. This tariff allows small business customers to adjust to the concept of demand they may not be familiar with. Secondary load control tariffs can be assessed with this primary tariff. This tariff cannot be used in conjunction with the Small Business Flat tariff.

Tariff class: Standard Asset Customers (SAC)	
Customer Type:	Small business customers consuming up to 100 MWh per year
Opt in / opt out arrangements	This tariff is the default for new small business customers and existing small business customers who initiate an upgrade to a smart meter, consuming up to 100 MWh per annum. Customers initiating a change from a basic meter to a smart meter will be immediately reassigned to this tariff. Customers changing from a basic meter to a smart meter due to end-of-life meter failure will be reassigned to this tariff 12 months after the smart meter installation (unless they chose to voluntarily opt-in to a demand or time-of-use volume based tariff during the 12 month grace period).
Tariff components and application	Fixed charge: \$/day applies to each energised connection point for each day in the billing period
	Volume charge: A flat volume charge, \$/kWh, applies based on kWh energy usage in the billing period
	Demand charge: A monthly charge calculated as \$/kW/month, based on the maximum kW demand measured as a single peak over a 30-minute period during the peak demand charging window/timeframe. Peak demand window: 4pm to 9pm weekdays

Table 9: Default tariff for SAC Large customers

Tariff class: Standard Asset Customers (SAC)	
Customer Type:	Large customers consuming 100 MWh or above per year
Tariff:	LV Demand Time of Use (Tariff code: 7200)
Tariff description	This tariff has a time of use demand charge which applies during the peak demand window, and an additional (excess) demand charge which may apply outside the peak window depending on the customer's load characteristics. Customers must have appropriate metering and must publish their kVA demand to access this tariff as the demand charges are applied to the maximum half hourly kVA (Note: kW-based version of this tariff is not available).
Opt in / opt out arrangements	This tariff is the default tariff for new SAC large customers (consuming 100 MWh or above per year). Optional tariff for all existing SAC large customers with a smart meter.
Tariff components and application	Fixed charge: \$/day applies to each energised connection point for each day in the billing period
	Volume charge: A flat volume charge, \$/kWh, applies based on kWh energy usage in the billing period
	Demand charge: A monthly charge calculated as \$/kVA/month, based on the maximum kVA demand measured as a single peak over a 30-minute period during the peak demand charging window/timeframe. Peak demand window: 4pm to 9pm weekdays
	Excess demand charge: A monthly charge calculated as \$/kVA/month. It is measured as the single maximum demand outside the peak demand window minus the maximum demand during the peak demand window. Where the maximum monthly demand outside the peak demand window is less than the highest monthly maximum demand inside the peak window, the excess demand charge for that billing period is set to zero.
Tariffs:	Large Residential Energy (Tariff code: 6600) Large Business Energy (Tariff code: 6700)
Tariff description	The Large Residential Energy and Large Business Energy tariffs are volumetric tariffs designed to encourage SAC Large basic meter customers to upgrade to a smart meter.
Opt in and opt out arrangements	Default tariffs for SAC large customer with a basic meter consuming 100 MWh or above per year. Tariffs not available to smart meter customers.
Tariff components and application	Fixed charge: \$/day applies to each energised connection point for each day in the billing period
	Volume charge: A flat volume charge, \$/kWh, applies based on kWh energy usage in the billing period

Table 10: Unmetered supply tariff

Tariff class: Standard Asset Customers (SAC)	
Customer Type:	Unmetered supplies for facilities
Tariff:	Unmetered (Tariff code: 9600)

Tariff class: Standard Asset Customers (SAC)	
Customer Type:	Unmetered supplies for facilities
Tariff description	This tariff is available for small uniform loads that have no meter at the connection point, such as public lighting, traffic lights, security lights and other types of unmetered public amenities (e.g., illuminated signs, phone boxes and public barbeques). Energex only provides a connection to the network for these services.
Opt in / opt out arrangements	The unmetered supply network tariff applies to all loads approved to be unmetered by Energex ⁹ . No other tariffs are available for unmetered supplies.
Tariff components and application	Volume charge: A flat volume charge, \$/kWh, applies based on kWh energy usage in the billing period.

Table 11: Default CAC tariffs

Tariff class: Connection Asset Customers (CAC)	
Customer Type:	Customers with a network coupling point at 66 kV, 33 kV, 22 kV, 11 kV and installed capacity above 1,000 kVA
Tariff:	11kV Bus (Tariff code: 4000)
Tariff description	This is a tariff for customers with a network coupling point at an 11kV zone substation bus via a dedicated 11 kV feeder that is not shared with any other customer.
Opt in / opt out arrangements	Default for new customers with an 11kV bus configuration. Optional tariff for existing 11kV bus configuration customers on the legacy grandfathered EG 11kV tariff (NTC3000).
Tariff components and application	Fixed charge: \$/day – These charges vary for each customer depending on the customer's connection assets and funding arrangements. Connection assets are the assets required to connect an electrical installation to the shared network and are all the assets from the connection point back up to and including the network coupling point. Dedicated connection assets are generally for the sole use of a single connection and are typically not shared by multiple connections. In circumstances where the network coupling point, and/or identification of dedicated connection assets, is unclear or contested, Energex will consider other information, including but not limited to, the customer's metering point to make a determination about the network coupling point. Volume charge: A variable charge, calculated in \$/kWh, applying to the energy used at a connection point at different times of the day. The following time periods apply to volume charges: Peak: 7am to 11pm on weekdays Off-peak: 11pm to 7am on weekdays; anytime on weekends. It should be noted that currently the same charge applies to both the peak and off-peak periods. Demand charge: A monthly charge calculated as \$/kVA/month, based on the maximum kVA demand measured as a single peak over a 30-minute period during the month.
Tariff:	Demand Time-of-Use 11kV (Tariff code: 7400)

⁹ The NER prescribes which metering installations do not require a meter (Type 7)

Tariff class: Connection Asset Customers (CAC)	
Customer Type:	Customers with a network coupling point at 66 kV, 33 kV, 22 kV, 11 kV and installed capacity above 1,000 kVA
Tariff description	This is a time-of-use demand tariff for customers with a network coupling point at 11kV feeders shared with other customers.
Opt in / opt out arrangements	Default tariff for new customers that share an 11kV feeder with other customers. Optional tariff for existing 11kV Line customers on the legacy grandfathered 11kV Line tariff (NTC4500).
Tariff components and application	Fixed charge: Consists of a capital charge and an operating and maintenance charge: - Capital charge: Capital rate x non-contributed connection asset value (\$/day/\$M-Non-Contributed Asset Value) - Operating and maintenance charge: Operating and maintenance allowance rate x connection asset value (\$/day/\$M Connection Asset Value) Connection assets are the assets required to connect an electrical installation to the shared network and are all the assets from the connection point back up to and including the network coupling point. Dedicated connection assets are generally for the sole use of a single connection and are typically not shared by multiple connections. In circumstances where the network coupling point, and/or identification of dedicated connection assets, is unclear or contested, Energex will consider other information, including but not limited to, the customer's metering point to make a determination about the network coupling point.
	Volume charge: A flat volume charge, \$/kWh, applies based on kWh energy usage in the billing period
	Demand charge: A monthly charge calculated as \$/kVA/month, based on the maximum kVA demand measured as a single peak over a 30-minute period during the peak demand charging window/timeframe. Peak demand window: 9am to 9pm workdays
	Excess demand charge: A monthly charge calculated as \$/kVA/month. It is measured as the single maximum demand outside the peak demand window minus the maximum demand during the peak demand window. Where the maximum monthly demand outside the peak demand window is less than the highest monthly maximum demand inside the peak window, the excess demand charge for that billing period is set to zero.

Table 12: ICC tariff

Tariff class: Individually Calculated Customers (ICC)	
Customer Type:	Customers assigned to the ICC tariff class
Tariff:	ICC (Tariff code: 1000)
Tariff description	ICC tariffs are site specific and are calculated on an individual basis to reflect the specific site's load requirements. ICC tariffs are confidential – they are provided directly to the customers and/or the customer's retailer (they are not published on our website).
Opt in / opt out arrangements	All customers classified as an ICC must be on a site-specific ICC tariff. No other tariff options are available.

Tariff class: Individually Calculated Customers (ICC)	
Customer Type:	Customers assigned to the ICC tariff class
Tariff components and application	Fixed charge: \$/day – These charges vary for each customer depending on the customer's connection assets and funding arrangements. Connection assets are the assets required to connect an electrical installation to the shared network and are all the assets from the connection point back up to and including the network coupling point. Dedicated connection assets are generally for the sole use of a single connection and are typically not shared by multiple connections. In circumstances where the network coupling point, and/or identification of dedicated connection assets, is unclear or contested, Energex will consider other information, including but not limited to, the customer's metering point to make a determination about the network coupling point.
	Volume charge: A flat volume charge, \$/kWh, applies based on kWh energy usage in billing period.
	Demand charge: A monthly charge calculated as \$/kVA/month, based on the maximum kVA demand measured as a single peak over a 30-minute period during the month.
	Capacity charge: \$/kVA
	The nominated capacity is either the contracted demand or the maximum demand.

3.3.2 Optional tariffs

Table 13: SAC Small Residential customer optional primary tariffs

Tariff class: Standard Asset Customers (SAC)	
Customer Type:	Residential customer consuming up to 100 MWh per year
Tariff:	Residential Demand (Tariff code: 3700)
Tariff description	This is a demand based tariff, designed to encourage residential customers to reduce their electricity costs by reducing their maximum demand during the peak times. Secondary load control tariffs can be assessed with this primary tariff. This tariff cannot be used in conjunction with the Residential Flat.
Opt in / opt out arrangements	This tariff is optional for new and existing residential customers with a smart meter consuming up to 100 MWh per annum.
Tariff components and application	Fixed charge: \$/day applies to each energised connection point for each day in the billing period
	Volume charge: A flat volume charge, \$/kWh/month, applies based on kWh energy usage in the billing period
	Demand charge: A monthly charge calculated as \$/kW, based on the maximum kW demand measured as a single peak over a 30-minute period during the peak demand charging window/timeframe. Peak demand window: 4pm to 9pm weekdays and weekends
Tariff:	Residential Time of Use (ToU) Energy (Tariff code: 6900)
Tariff description	This is a time-of-use tariff, with the price of electricity changing at different times of the day. Secondary load control tariffs can be assessed with this primary tariff. This tariff cannot be used in conjunction with Residential Flat.
Opt in / opt out arrangements	This tariff is optional for new and existing residential customers with a smart meter consuming up to 100 MWh per annum.
Tariff components and application	Fixed charge: \$/day applies to each energised connection point for each day in the billing period
	Volume charge: A variable charge, calculated in \$/kWh, with different prices applying to the energy used at a connection point at different times of the day.
	The following time periods apply to volume charges: Evening (peak): 4pm to 9pm on weekdays and weekends Night (shoulder): 9pm to 9am on weekdays and weekends Day (off-peak): 9am to 4pm on weekdays and weekends

Table 14: SAC Small Business customer optional primary tariffs

Tariff class: Standard Asset Customers (SAC)	
Customer Type:	Small business customer consuming up to 100 MWh per year
Tariff:	Small Business Demand (Tariff code: 3600)
Tariff description	This is a demand based tariff, designed to encourage small business customers to reduce their electricity costs by reducing their maximum demand during the peak times. Secondary load control tariffs can be assessed with this primary tariff. This tariff cannot be used in conjunction with the Small Business Flat.
Opt in / opt out arrangements	This tariff is optional for new and existing small business customers with a smart meter consuming up to 100 MWh per annum.
Tariff components and application	Fixed charge: \$/day applies to each energised connection point for each day in the billing period
	Volume charge: A flat volume charge, \$/kWh, applies based on kWh energy usage in the billing period Demand charge: A monthly charge calculated as \$/kW/month, based on the maximum kW demand measured as a single peak over a 30-minute period during the peak demand charging window/timeframe. Peak demand window: 4pm to 9pm weekdays (Note: Demand charges don't apply on weekends)
Tariff:	Small Business Time of Use (ToU) Energy (Tariff code: 6800)
Tariff description	This is a tariff with volume (consumption) rates varying depending on the time of day, and with an inclining fixed charge structure. Secondary load control tariffs can be assessed with this primary tariff.
Opt in / opt out arrangements	This tariff is optional for new and existing residential customers with a smart meter consuming up to 100 MWh per annum.
Tariff components and application	Fixed charge: \$/day applies to each energised connection point for each day in the billing period. This tariff has five inclining fixed charge blocks. To select the applicable fixed charge, a customer is assigned to one of the five blocks depending on their electricity use i.e., different prices apply to each 20MWh/year block. Block 1: Annual consumption up to 20 MWh/year Block 2: Annual consumption 20 MWh/year up to 40 MWh/year Block 3: Annual consumption 40 MWh/year up to 60 MWh/year Block 4: Annual consumption 60 MWh/year up to 80 MWh/year Block 5: Annual consumption equal to or exceeding 80 MWh/year The higher the customers annual energy consumption, the higher the \$/day fixed charge. Refer to Appendix A for further information.
	Volume charge: A variable charge, calculated in \$/kWh, with different prices applying to the energy used at a connection point at different times of the day. The following time periods apply to volume charges: Evening (peak): 4pm to 9pm on weekdays Night (shoulder): 9pm to 9am on weekdays; 4pm to 9am on weekends Day (off-peak): 9am to 4pm on weekdays and weekends
Tariff:	Small Business Primary Load Control Tariff (Tariff code: 5700)
Tariff description	On this tariff, electricity supply will be available for a minimum of 18 hours per day during time periods set at the absolute discretion of Energex.

Tariff class: Standard Asset Customers (SAC)	
Customer Type:	Small business customer consuming up to 100 MWh per year
Opt in / opt out arrangements	This tariff is optional for eligible small business customers with a basic or smart meter consuming up to 100 MWh. For the terms and conditions of this tariff refer to our 2022-23 Pricing Proposal.
Tariff components and application	Fixed charge: \$/day applies to each energised connection point for each day in the billing period
	Volume charge: A flat volume charge, \$/kWh, applies based on kWh energy usage in the billing period

Table 15: SAC Large customer optional primary tariffs

Tariff class: Standard Asset Customers (SAC)	
Customer Type:	Large customers consuming 100 MWh or above per year
Tariffs:	Small Demand (Tariff code: 8300) Large Demand (Tariff code: 8100)
Tariff description	The Small Demand and Large Demand tariffs are anytime demand tariffs (i.e., these tariffs do not have a peak charging window for demand). The Small Demand and Large Demand tariffs are self-selecting with the customer determining the optimum tariff category based on their energy use and load characteristics. The two tariffs have the same structure, however different prices apply to the tariff components, specifically the Small Demand tariff fixed charge has been set lower, while volume and demand charges have been set higher in comparison to the Large Demand tariff. Customers must have appropriate metering and published kVA demand to access these tariffs as the demand charges are applied to the maximum half hourly kVA (Note: kW based versions of these tariffs are not available).
Opt in and opt out arrangements	Optional tariffs for existing SAC large customers with a smart meter consuming 100 MWh or above per year. New SAC large business customers will be assigned by default to the LV Demand Time of Use (NTC7200) tariff, however, these customers can opt in to either the Demand Small or Demand Large tariff. Note: Existing SAC Small Business and Residential customers with appropriate smart metering and consumption of 100 MWh or above per year, will be assigned by default to the Demand Small (NTC8300) tariff.
Tariff components and application	Fixed charge: \$/day applies to each energised connection point for each day in the billing period
	Volume charge: A flat volume charge, \$/kWh, applies based on kWh energy usage in the billing period
	Demand charge: A monthly charge calculated as \$/kVA/month, based on the maximum kW demand measured as a single peak over a 30-minute period during the month.

Secondary Tariffs for SAC customers

Secondary tariffs can generally only be accessed in conjunction with a primary tariff. For example, a residential customer, in addition to their primary tariff, may elect to have some appliances (e.g., hot water system) subject to a secondary ‘controlled load’ network tariff. Secondary tariffs are only available to SACs. Available secondary tariffs are described in the table below.

Table 16: Secondary tariffs

Tariff class: Standard Asset Customers (SAC)	
Customer Type:	SAC Small Residential and Small business customer consuming up to 100 MWh per year
Tariff:	Economy (Tariff code: 9100)
Tariff description	Specified connected appliances ¹⁰ are controlled by network equipment so supply will be permanently available for a minimum period of 18 hours per day during time periods set at the absolute discretion of Energex. This tariff can be used in conjunction with any primary SAC small tariff, except Small Business Primary Load Controlled tariff.
Opt in / opt out arrangements	This tariff is available for eligible new and existing customers with basic or smart meters. For terms and conditions of this tariff refer to our 2022-23 Pricing Proposal.
Tariff components and application	Volume charge: A flat volume charge, \$/kWh, applies based on kWh energy usage in the billing period
Tariff:	Super Economy (Tariff code: 9000)
Tariff description	Specified connected appliances are controlled by network equipment so supply will be permanently available for a minimum period of 8 hours per day during time periods set at the absolute discretion of Energex. This tariff can be used in conjunction with any primary SAC small tariff, except Small Business Primary Load Controlled tariff.
Opt in / opt out arrangements	This tariff is available for eligible new and existing customers with basic or smart meters. For terms and conditions of this tariff refer to our 2022-23 Pricing Proposal.
Tariff components and application	Volume charge: A flat volume charge, \$/kWh, applies based on kWh energy usage in billing period
Customer Type:	Large customers consuming 100 MWh or above per year
Tariff:	Large Business Secondary Load Control Tariff (Tariff code: 5900)
Tariff description	Total connected load is controlled by network equipment so supply will be permanently available for a minimum period of 18 hours per day during time periods set at the absolute discretion of Energex.
Opt in / opt out arrangements	This tariff is available for eligible new and existing customers with basic or smart meters consuming 100 MWh or above per year. For terms and conditions of this tariff refer to our 2022-23 Pricing Proposal.
Tariff components and application	Volume charge: A flat volume charge, \$/kWh, applies based on kWh energy usage in the billing period

¹⁰ Approval of equipment to connect to controlled load network tariffs is at the absolute discretion of Energex. Where Energex’s load control equipment exists, this may not be disconnected without Energex’s prior written consent.

3.3.3 Closed (grandfathered) tariffs

Table 17: Closed SAC tariffs

Tariff class: Standard Asset Customers (SAC)	
Tariff:	Residential Time of Use (Tariff code: 8900)
Tariff description	This tariff is limited to existing residential customers who were assigned to this tariff as at 30 June 2020.
Opt in / opt out arrangements	This tariff is closed to new customers Existing customers will be able to remain on this tariff and, should they choose to, will be able to request to be reassigned to the Residential Flat tariff.
Tariff components and application	Fixed charge: \$/day applies to each energised connection point for each day in the billing period
	Volume charge: A variable charge, calculated in \$/kWh, with different prices applying to the energy used at a connection point at different times of the day The following time periods apply to volume charges: Peak: 4pm to 8pm on weekdays Shoulder: 7am to 4pm and 8pm to 10pm on weekdays; 7am to 10pm on weekends Off-peak: 10pm to 7am on weekdays and weekends
Tariff:	Business Time of Use (Tariff code: 8800)
Tariff description	This tariff is limited to existing small business customers who were assigned to this tariff at 30 June 2020.
Opt in / opt out arrangements	This tariff is closed to new customers Existing customers will be able to remain on this tariff and, should they choose to, will be able to request to be reassigned to the Small Business Flat tariff or the WIFT.
Tariff components and application	Fixed charge: \$/day applies to each energised connection point for each day in the billing period
	Volume charge: A variable charge, calculated in \$/kWh, with different prices applying to the energy used at a connection point at different times of the day The following time periods apply to volume charges: Peak: 4pm to 9pm on weekdays Off-peak: 9pm to 7am on weekdays; anytime on weekends
Tariff:	Small Business Demand (Tariff code: 7100)
Tariff description	This tariff is limited to existing small business customers who were on assigned to this tariff as at 30 June 2020.
Opt in / opt out arrangements	This tariff is closed to new customers Existing customers will be able to remain on this tariff and, should they choose to, will be able to request to be reassigned to the Small Business Transitional Demand (NTC3800), Small Business Demand (NTC3600) or Small Business ToU Energy (NTC6800) tariff.
Tariff components and application	Fixed charge: \$/day applies to each energised connection point for each day in the billing period
	Volume charge: A flat volume charge, \$/kWh, applies based on kWh energy usage in the billing period Demand charge: A monthly charge calculated as \$/kW/month, based on the maximum kVA demand measured as a single peak over a 30-minute period, in the peak demand charging window/timeframe. Peak demand window: 9am to 9pm on workdays

Table 18: Closed CAC tariffs

Tariff class: Connection Asset Customers (CAC)	
Customer Type:	Customers with a network coupling point at 66 kV, 33 kV, 22 kV, 11 kV and installed capacity above 1,000 kVA
Tariff:	11kV Line (Tariff code: 4500)
Tariff description	Previously customers with a network coupling point at an 11kV feeder shared with other customers, were allocated to this tariff.
Opt in / opt out arrangements	This tariff is closed to new customers. Existing customers on this tariff as at 30 June 2020 will be able to remain on this tariff.
Tariff components and application	Fixed charge: \$/day applies - These charges vary for each customer depending on the customer's connection assets and funding arrangements. Connection assets are the assets required to connect an electrical installation to the shared network and are all the assets from the connection point back up to and including the network coupling point. Dedicated connection assets are generally for the sole use of a single connection and are typically not shared by multiple connections. In circumstances where the network coupling point, and/or identification of dedicated connection assets, is unclear or contested, Energex will consider other information, including but not limited to, the customer's metering point to make a determination about the network coupling point.
	Volume charge: A variable charge, calculated in \$/kWh, applying to the energy used at a connection point at different times of the day. The following time periods apply to volume charges: Peak: 7am to 11pm on weekdays Off-peak: 11pm to 7am on weekdays; anytime on weekends. It should be noted that currently the same charge applies to both the peak and off-peak periods.
	Demand charge: A monthly charge calculated as \$/kVA/month, based on the maximum kVA demand measured as a single peak over a 30-minute period during the month.
Tariff:	EG 11kV (Tariff code: 3000)
Tariff description	Previously this tariff was allocated to generation customers with a generation capacity greater than 30 kVA. New customers with these characteristics are allocated to either Demand Time of Use 11kV if they share a feeder with other customers or to 11kV Bus if they have an 11kV bus configuration.
Opt in / opt out arrangements	This tariff is closed to new customers. Existing customers on this tariff as at 30 June 2020 will be able to remain on this tariff.
Tariff components and application	Fixed charge: \$/day - These charges vary for each customer depending on the customer's connection assets and funding arrangements. Connection assets are the assets required to connect an electrical installation to the shared network and are all the assets from the connection point back up to and including the network coupling point. Dedicated connection assets are generally for the sole use of a single connection and are typically not shared by multiple connections. In circumstances where the network coupling point, and/or identification of dedicated connection assets, is unclear or contested, Energex will consider other information, including but not limited to, the customer's metering point to make a determination about the network coupling point.
	Volume charge: A variable charge, calculated in \$/kWh, applied to the energy used at a connection point and vary at different times of the day The following time periods apply to volume charges: Peak: 7am to 11pm on weekdays Off-peak: 11pm to 7am on weekdays; anytime on weekends. It should be noted that currently the same charge applies to both the peak and off-peak periods.

Tariff class: Connection Asset Customers (CAC)	
Customer Type:	Customers with a network coupling point at 66 kV, 33 kV, 22 kV, 11 kV and installed capacity above 1,000 kVA
	Demand charge: A monthly charge calculated as \$/kVA/month, based on the maximum kVA demand measured as a single peak over a 30-minute period during the month.

4. Distribution Loss Factors

4.1 Background

Distribution Loss Factors (DLFs) are used to increase the customer's meter energy amount to account for electrical losses for electricity transmitted on a distribution network (between a distribution network connection point and a transmission network connection point). The DLF generally varies depending on the location and voltage of a customer's connection point.

The NER require Energex to calculate DLFs annually, for each network tariff. DLFs are approved by the AER and published by the Australian Energy Market Operator on their website.

4.2 DLF categories

Average DLFs are calculated for each significant supply level in the network, whereas DLFs for major customers are calculated individually to determine the losses directly attributable to their loads.

The average DLF categories applied by Energex are:

- 132/110 kV Network
- 33 kV Network
- 11 kV bus
- 11 kV line
- LV bus, and
- LV line.

For our SAC tariffs, the DLFs approved to apply are published on our website in our Network Price List. These DLFs are based on the most common network supply configuration. For our CAC and ICC tariffs, the DLFs are site specific and confidential. These DLFs are provided directly to the customers and/or the customer's retailer on request.

Energex's methodology for calculating DLFs is available on our website:

<https://www.energex.com.au/about-us/company-information/network-regulation/distribution-loss-factor-methodology>

4.3 Application of DLFs

Energex applies the DLF to customers metered energy usage for the calculation of TUOS volume charges. That is, the customers actual consumption is 'uplifted' by the DLF value, then the resulting consumption value is multiplied by the published TUOS volume rate (\$/kWh) for the relevant tariff¹¹. The adjustment allows application of the DLF for charging TUOS volume at the NMI level, rather than at a standardised tariff level.

The example below illustrates how DLFs are applied by Energex for billing purposes.

Example:

Tariff: Residential Flat (8400)

Annual Metered Volume: 4,863 kWh

Charges:

Fixed:

No adjustment required for DLFs

ie. NUOS \$/day rate x number of days in billing period = fixed charge

Volume:

DUOS - Volume charge: $4,863 \text{ kWh} \times \$0.06039 = \$293.68$

Jurisdictional Schemes – Volume charge: $4,863 \text{ kWh} \times \$0.00932 = \$45.32$

TUOS - Volume charge $4,863 \text{ kWh} \times \text{DLF } 1.052 = 5,116 \text{ uplifted kWh} \times \$0.01413 = \$72.29$

Total - Volume charge = $\$293.68 + \$45.32 + \$72.29 = \411.29

¹¹ That is, the NUOS volume prices published in the Network Price List are not used by Energex for billing purposes - the TUOS volume component is first adjusted by the applicable DLF

5. Avoided TUOS payments to embedded generators

5.1 Background

In accordance with the NER, Energex is required to pay Avoided Transmission Use of System (Avoided TUOS) to eligible Embedded Generators (EG) in Energex's distribution network. Avoided TUOS payments recognise that energy supplied to the electricity distribution network by the embedded generator would have otherwise been supplied from the transmission network.

Generally, to be eligible for Avoided TUOS payments the EGs must have:

- sought access to Energex's distribution network under Chapter 5 of the NER,
- a generator Connection Agreement with Energex, and
- registered or intend to register with AEMO as a Generator Rules Participant.¹²

If an exemption applies, or there is no intention for the EG to register as a *Generator Rules Participant*, we will not make Avoided TUOS payments.

In specific circumstances, Avoided TUOS payments may be allowed to be received by another entity other than the EG (for example where an *intermediary* is appointed and registered as a *Generator* under the NER).

5.2 Methodology for calculating avoided TUOS

In accordance with the NER, to calculate the avoided TUOS payments for eligible EGs, we:

- Determine the charges for the locational component of prescribed DPPC services that would have been payable by Energex had the EG not injected any energy at its connection point during that financial year.
- Determine the amount by which the charges calculated in (a) exceeds the amount for the locational component of prescribed DPPC services actually payable by Energex.
- Credit the value from (b) to the EG account and arrange a payment of the resultant value to the EG (or intermediary).

The calculation used by Energex to determine avoided customer TUOS charges is stated as follows:

Sum of energy exported from the EG x DLF

24 hours x No. of days in the month

x

Prescribed TUOS Service Locational Charge

¹² Some embedded generating units are required to register as a Generator Rules Participant under the NER.

5.3 Payment of Avoided TUOS

Avoided TUOS payments to EGs following the end of the relevant financial year will be made as agreed between Energex and the particular EG (or intermediary) and will generally be remitted in the form of a lump sum payment after 30 June 2022.

5.4 Recovery of Avoided TUOS

In accordance with the NER, we are able to recover costs associated with Avoided TUOS through TUOS charges in our network tariffs. Where we are to pay an Avoided TUOS payment to an EG, the payment amount is recovered as part of the TUOS volume charges passed through to customers at the same connection point as the EG.

Appendix A: WIFT Fixed charge calculation methodology

The Small Business WIFT (tariff code: 6000) is structured with five inclining blocks, each with a different fixed charge (\$/day) and with a flat volume charge (\$/kWh).

The WIFT tariff fixed charge blocks are:

	Annual consumption	Equivalent daily consumption kWh
Block 1	up to 20 MWh/year	Up to 54.79
Block 2	20 MWh/year up to 40 MWh/year	54.79 to 109.58
Block 3	40 MWh/year up to 60 MWh/year	109.58 to 164.38
Block 4	60 MWh/year up to 80 MWh/year	164.38 to 219.17
Block 5	equal to or exceeding 80 MWh/year	219.18

The WIFT fixed charge calculation methodology is as follows:

- 1) Calculate the total energy consumption (kWh) for the billing period
- 2) Calculate equivalent daily kWh value for the billing period = kWh consumption /number of days in billing period
- 3) Identify which 'Block' the customers daily kWh value fits in and select the corresponding fixed charge price from the Network Price List

Multiply the value calculated in Step 2 by the number of days in the billing period = this is the total fixed charge for the billing period

Example:

A small business premises meter is read quarterly. On this occasion, the customers consumption is for the 5,000 kWh for that quarter's meter read.

Equivalent daily consumption = consumption divided by the number of days in the read =
 $5,000/90 = 55.55$ kWh per day

As 55.55 kWh is above Block 1 max threshold of 54.79 kWh but below Block 2 max threshold of 109.58 kWh, Block 2 should be selected

The inclining fixed NUOS charge = 90 days x \$0.970 = \$87.30

Note: The same methodology is applied for the calculation of the fixed charge component of the Small Business Time of Use Energy tariff (Tariff code: 6800).

The volume component of Small Business Time of Use Energy (Tariff code: 6800) is applied differently to the WIFT, as the ToU tariff has a variable volume charge dependent on the time of the day.

Appendix B: Glossary

Table 19: Definitions of terminology used throughout this document

Term	Abbreviation / Acronym	Definition
Australian Energy Regulator	AER	The economic regulator of the NEM established under section 44AE of the <i>Competition and Consumer Act 2010</i> (Commonwealth).
Alternative Control Service	ACS	Customer specific or customer requested services. These services may also have potential for provision on a competitive basis rather than by the local DNSP.
After hours		Outside of 8 am to 5 pm, Monday to Friday
Authorised demand	AD	The maximum demand permitted to be imported or exported to the network by a network user, based on the nature of their connection.
Basic meter		Basic accumulation meters are defined as a meter that is only capable of recording the customers' energy consumption during the billing period.
Business hours	BH	8 am to 5 pm, Monday to Friday.
Capacity charge		A type of charge (charging parameter or component) included in network tariff structures. The capacity charge seeks to reflect the costs associated with providing network capacity required by a customer on a long-term basis. It is levied on the basis of either contracted demand or forecasted capacity using prior year information.
Charging parameter (or tariff component)		The charges comprising a tariff. Parameters (or components) include demand, capacity, fixed and volume (flat or time-of-use) charges.
Common service		A service that ensures the integrity of a distribution system, benefits all distribution customers and cannot reasonably be allocated on a locational basis.
Connection asset (Contributed or non-contributed)		Related to building connection assets at a customer's premises as well as the connection of these assets to the distribution network. Connection assets can be contributed (customer funded, then gifted to Energex) or non-contributed (Energex funded).
Connection point		The agreed point of supply established between a Network Service Provider and another Registered Participant, Non-Registered Customer or franchise customer. The meter is installed as close as possible to this location.
Customer		Refer to chapter 10 of the NER.
Demand		The amount of electricity energy being consumed at a given time measured in either kilowatts (kW) or kilovolt amperes (kVA). The ratio between the two is the power factor.
Demand charge		A type of charge (charging parameter or component) included in network tariff structures. This charge accounts for the actual demand a customer places on the electricity network. Different parameters (or components) apply to this charged depending on the different tariffs.
Demand tariff		The tariff has been structured to include a demand component, so the customer's actual demand is reflected in the price they pay for their electricity.
Designated Pricing Proposal Charge	DPPC	Refers to the charges incurred for use of the transmission network; previously referred to as Transmission Use of System (TUOS).
Distribution Use of System	DUOS	This refers to the network charges which recover the costs of providing Standard Control Services.
Embedded Generator	EG	In line with the ENA classification, EGs are generally those generators with an installed capacity as follows: Medium: 1-5 MVA (LV or HV) or < 1 MVA (HV)

Term	Abbreviation / Acronym	Definition
		Large: > 5 MVA EGs are separated into two categories: - EGs that are connected to the distribution system and only generate into the distribution system - EGs that are connected to the distribution system, generate and take load from the system
Energy (or usage)		The amount of electricity consumed by a customer (or all customers) over a period of time. Energy is measured in terms of watt hours (Wh), kilowatt hours (kWh), megawatt hours (MWh) or gigawatt hours (GWh).
Feed-in Tariff	FIT	The rate that is to be paid for the excess energy generated by customers and fed back into the electricity grid under the Queensland Solar Bonus Scheme. The FIT rate is determined by the Queensland Government and is paid by the purchaser of the excess energy.
Fixed charge		A type of charge (charging parameter or component) included in network tariff structures which is levied on a fixed dollar amount per day.
High Voltage	HV	Refers to the network at 11 kV or above.
Large customer classification		As per tariff class assignment process for customers with consumption greater than 100 MWh per year.
Large customer connection	LCC	Large customer connections are those connections that fall within the tariff classes of Individually Calculated Customer (ICC) and Connection Asset Customer (CAC) including embedded generators with installed capacity greater than or equal to 30 kVA.
Long Run Marginal Cost	LRMC	An estimate of the cost (long term variable investment) of augmenting the existing network to provide sufficient capacity for one additional customer to connect to the network or an additional MW of demand.
Low Voltage	LV	Refers to the sub-11 kV network
Maximum demand		The maximum demand recorded at a customer's individual meter or the maximum demand placed on the electrical distribution network system at any time or at a specific time or within a specific time period, such as a month. Maximum demand is an indication of the capacity required for a customer's connection on the electrical distribution network.
National Electricity Law	NEL	The legislation that establishes the role of the AER as the economic regulator of the NEM and the regulatory framework under which the AER operates.
National Electricity Market	NEM	The interconnected electricity grid covering Queensland, New South Wales, Victoria, Tasmania, South Australia and the Australian Capital Territory.
National Electricity Rules	NER (the NER)	The legal provisions (enforced by the AER) that regulate the operation of the NEM and the national electricity systems, the activities of market participants and the provision of connection services to retail customers.
National Metering Identifier	NMI	A unique number assigned to each metering installation.
Network capacity		The maximum demand (kW) that the distribution network can provide for at any one time.
Network Coupling Point	NCP	The point at which connection assets join a distribution network, used to identify the distribution service price payable by a customer.
Network Tariff Code	NTC	Energex's nominated code that represents the network tariff being charged to customers for network services.

Term	Abbreviation / Acronym	Definition
Network Use of System	NUOS	The tariff for use of the distribution and transmission networks. It is the sum of DUOS, DPPC and JS.
New customer		New customer means a new connection to the network.
Power factor		Power factor is the ratio of kW to kVA, and is a useful measure of the efficiency in the use of the network infrastructure. The closer the power factor is to one (1), the more efficiently the network assets are utilised. Power factor = kW / kVA
Site-specific charge		This charge is calculated for a site and is specific to the individual connection point.
Small customer classification		As per tariff class assignment process for customers with consumption less than 100 MWh per year.
Smart meter		Digital, interval and advanced Type 1-4 meters capable of measuring electricity usage in specific time intervals and enabling tariffs that can vary by time of day.
Solar Photovoltaic	Solar PV	A system that uses sunlight to generate electricity for residential use. The system provides power for the premises with any excess production feeding into the electricity grid.
Standard Control Service	SCS	Distribution services that are central to electricity supply and therefore relied on by most (if not all) customers. This service classification includes network services (e.g., construction, maintenance and repair of the network), basic connection services and Type 7 metering services (i.e., unmetered connections such as traffic lights).
Tariff		The set of charges applied to a customer in the respective billing period. A tariff consists of one or more charging parameters (or tariff components) that comprise the total tariff rate.
Tariff class		A class of customers for one or more <i>direct control services</i> who are subject to a particular tariff or particular tariffs (as per chapter 10 of the NER).
Tariff Structure Statement	TSS	Document prepared in accordance with Part I of chapter 6 of the NER, setting out Energex's network price structures and indicative tariffs that will apply over each year of the regulatory control period. Energex submitted its 2020-25 TSS proposal to the AER in December 2019. The approved TSS takes effect from 1 July 2020.
Time-of-use	ToU	A type of network tariff where the price per kWh varies according to when the consumption occurs. The TOU tariff may apply a different price during peak, shoulder and off-peak periods.
Transmission Use of System charge	TUOS	Superseded terminology for DPPC which are charges incurred for use of the transmission network.
Unmetered supply		A customer who takes supply where no meter is installed at the connection point.
Usage or Volume charge		A type of charge included in network tariff structures is calculated using the customer's metered energy (kWh) consumption. It may be based on a flat rate, an inclining block or TOU charging structure (depending on the customer's applicable network tariff). This part of the tariff seeks to reflect costs not directly allocated to network drivers and costs that are proportional to the size of the customer.
Weekday		Weekdays include government gazetted full day public and bank holidays i.e., State, regional and local public holidays.

Term	Abbreviation / Acronym	Definition
Workday		Workdays exclude government gazetted full day public holidays but include bank, regional and local holidays as well as part day gazetted public holidays (e.g., Christmas eve).